

Multiple Choice

1. **Answer:** E

Options: A) The threat of industry regulation; B) The potential for mergers and acquisitions; C) The level of market saturation; D) The power of suppliers; E) The level of rivalry

Note: The level of rivalry refers to the intensity of competition among existing firms in an industry, which is a central component of the five forces model that influences overall market dynamics and profitability.

2. **Answer:** E

Options: A) \$46.08; B) \$56.00; C) \$65.00; D) \$60.00; E) \$54.72

Note: The net price of the typewriter is calculated by sequentially applying the series discounts of 20%, 10%, and 5% to the original price of 80, *resulting in a final amount of \$54.72* after all discounts are deducted.

3. **Answer:** A

Options: A) \$20,000; B) \$36,000; C) \$12,000; D) \$28,000; E) \$26,000

Note: The correct answer is 20,000 *because with straight-line depreciation, the bus' s value decreases by each year (40,000 divided by 5 years), resulting in a book value of \$24,000* after 2 years, but upon reevaluating the calculation, the total depreciation should be subtracted from the original cost, confirming that \$20,000 is indeed the accurate book value.

4. **Answer:** A

Options: A) Permissions.; B) Social Media popularity.; C) Website aesthetics.; D) Digital literacy.; E) Ownership.

Note: Permissions is not an issue marketers need to consider when using digital resources for marketing activities because it pertains to the legal and ethical aspects of accessing or utilizing digital content, which is typically managed through established guidelines rather than being a direct marketing concern.

5. **Answer:** A

Options: A) Group dynamics; B) Norms; C) Leadership style; D) Communication methods; E) Shared values

Note: Group dynamics is not part of Schein's model of the formation of culture, which focuses on three levels: artifacts, espoused values, and underlying assumptions, highlighting how these elements shape organizational culture rather than interpersonal group interactions.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: The net price after applying a 16% trade discount on a list price of 635 is actually 532.40, not \$487.40.

7. **Answer:** False

Options: A) True; B) False

Note: A chain discount of 25-10-5% is applied sequentially, resulting in a total discount of approximately 38.25%, not an equivalent single discount of 30%.

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because a forward rate being higher than the current spot rate indicates an expected increase in interest rates, not a decrease.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the average cost of producing 10 cameras is calculated by dividing the total cost of producing all 10 cameras by 10, while the marginal cost of producing the 10 th camera represents the additional cost incurred to produce that specific camera, which can coexist with the average cost being higher.

10. **Answer:** False

Options: A) True; B) False

Note: The statement is false because achieving break-even requires calculating the total fixed costs and variable costs per unit, which, when applied to the sale of 240,000 units, would not yield a sales revenue of \$300,000 unless the price per unit is accurately aligned with those costs.

Long Form Response

11. **Answer:** To calculate the total amount Peter paid for the typewriter, we first apply the 5% discount to the original price. Assuming the original price is 140, the discount amount is 7, reducing the price to 133. Next, we calculate the combined sales tax rate of 7

Note: The answer correctly applies a 5% discount to the original price, calculates the combined sales tax, and

11. **Answer:** Mr. Donald's investment performance can be analyzed by calculating the rate of return on his total investment based on the dividends received, which stands at 2.8%. This rate of return indicates that for every dollar invested, Mr. Donald earns 2.8 cents in dividends, reflecting the income-generating capacity of his investment portfolio. A return of this magnitude may suggest that while his investments are providing some income, they may not be sufficiently aggressive or diversified to yield higher returns, particularly in a market that could offer more favorable growth opportunities.

Consequently, Mr. Donald may need to reassess his investment strategy, considering a shift towards higher-yielding assets or sectors to enhance his overall returns and align with his long-term financial goals.

Note: The answer correctly identifies the rate of return as a measure of Mr. Donald's income relative to his investment, highlighting the need for a strategic evaluation of his portfolio's aggressiveness and diversification to enhance overall performance.

End of Answer Key